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China Financials | Asia Pacific

We See Further Financial Outperformance in 2H26

We continue to see broad-based financial outperformance in 2H26 and further highlight major catalysts in the near and long term. We expect further valuation re-rating in a positive development loop following recent recovery.

The recent re-rating supports our view that China financials are more steady performers in a positive development loop. Over the past two weeks, A-share and H-share banks under our coverage picked up 4.7% and 6.7% (vs. -0.9% for CSI300 and +4.3% for HSI), respectively, following a muted performance in A shares in 1H26. We believe this recovery reflects not only their attractive dividend yields, but also growing recognition of a more stable profitability and ROE outlook. We believe this is the beginning of more broad-based outperformance in 2H26 due to our expectation of: 1) more favorable flow trends due to the notable abate of "national team" selling; 2) abating macro concerns as government bond issuance picked up following de-leveraging in 2Q26; and 3) strong earnings momentum across banks, insurance and brokers.

Continued evidence in positive development loop should support sector valuation: For banks, we have seen an earlier-than-expected rebound in NIM and revenue growth, supported by changes in the policy environment, a better balance between credit supply and demand, and a gradual moderation in deflationary pressures. Meanwhile, household financial assets continue to expand at a solid pace of more than 10%, providing a favorable backdrop for non-bank financial names. Ongoing financial de-risking should also lay the foundation for RMB internationalization and broader financial opening, creating additional long-term growth opportunities across China's financial sector.

We identify several key catalysts to watch in 2H26. For banks, these include: 1) more rational credit growth and allocation; 2) stabilizing loan and financial investment yields; and 3) solid 2Q26 and 3Q26 results showing improving profit growth, stabilizing NIM, strong fee income growth and manageable credit risks. **For insurers,** catalysts include: 1) resilient new business value growth; 2) improving business quality; 3) earnings dispersion due to divergent equity market and differing allocation strategy across insurers; and 4) continued household allocation to insurance products. **For brokers:** 1) elevated A-share average daily turnover; 2) the continued refinement of existing regulations and introduction of supportive new rules; and 3) strong 2Q26 results should sustain earnings momentum. Together, these catalysts should improve earnings visibility, reduce concerns over downside risks and support a further re-rating of China financials.

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Key Catalysts to Watch for Each Segment

We remain positive on China financials, and see more opportunities as capital rotate back to the financial sector, which offers a clear trend for ROE improvement or healthy profit growth.

We reiterate our preference on brokers as we expect a prolonged active capital market to support ROE expansion among leading brokers. High savings levels and low deposit costs should sustain healthy growth for insurers despite some quarterly earnings volatility. For banks, we view them as steady performers with earlier-than-expected rebound in NIMs and revenue growth as well as attractive dividend yields for specific names.

We highlight several key drivers for each segment below

Banks: More rational credit growth and allocation, market-oriented pricing and continued risk control. We expect financial asset yields to recover by 50bp gradually over the next three years.

Brokers: Elevated A-share ADV supported by a more favorable and well-regulated capital market environment.

Insurers: Strong VNB growth and improving business quality as investors place greater emphasis on liability-side fundamentals. High-quality insurers could see further valuation upside.

On the flow side, we expect the negative impact from national team selling to taper notably as well

We estimate that cumulative net outflows from major broad-based ETFs have exceeded Rmb1.5tn year to date since January 2026. This likely represents more than 90% of net ETF inflows since 2024, even after accounting for market appreciation.

By contrast, China Securities Finance Corporation (CSF) holds positions across major A-share banks, brokers, and insurers, which it typically acquires during periods of market volatility to support stability. We believe CSF has already sold a substantial portion of its holdings during 2026, suggesting that the associated overhang should be materially smaller in 2H26.

Exhibit 1: One of the sovereign players, China Securities Finance Corp., owns shares in many financial firms

China Securities Finance Corporation holdings as % of A share float	4Q25	1Q26	QoQ
CCB	22.82	22.82	0.00
BOCOM	7.26	7.26	0.00
CPIC	3.96	3.88	-0.08
GF Securities	3.86	3.31	-0.55
BOC	3.77	3.77	0.00
SPDB	3.76	2.68	-1.08
China Life	3.40	3.37	-0.03
Industrial	2.94	NA	NA
CMB	2.54	NA	NA
CITIC	2.50	2.37	-0.13
CMS	2.30	2.30	0.00
PAB	2.21	1.75	-0.46
CEB	2.13	NA	NA
BOB	1.53	NA	NA
HXB	1.31	NA	NA
Galaxy	1.16	0.42	-0.74
ICBC	0.90	0.90	0.00
ABC	0.58	0.58	0.00
CSF Asset Management Plan holdings as % of A share float	4Q25	1Q26	QoQ
Ping An	7.49	7.02	-0.48
NCI	4.89	4.36	-0.53
CITICS	1.45	NA	NA

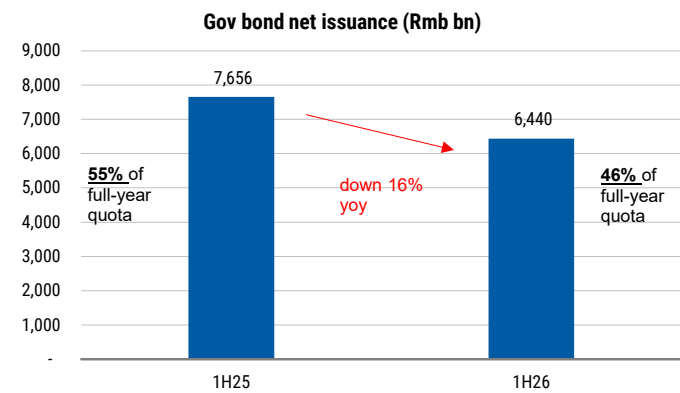
Source: WIND

Macro concerns over slower government bond issuance should abate in 2H26

As policymakers shifted their focus toward further de-leveraging in 2Q26, government bond issuance slowed, with a notably slower pace in 1H26 than in 1H25. Notably, only 46% of the annual government bond quota had been utilized in 1H26, compared with 55% in 1H25. We believe that government bond issuance remained back-end loaded, which leaves room to support demand growth should global demand weaken. While YTD net issuance of treasury bonds and local government bonds both declined YoY due to slowdown in 1H26, treasury bond net issuance picked up notably in July YoY, according to WIND data.

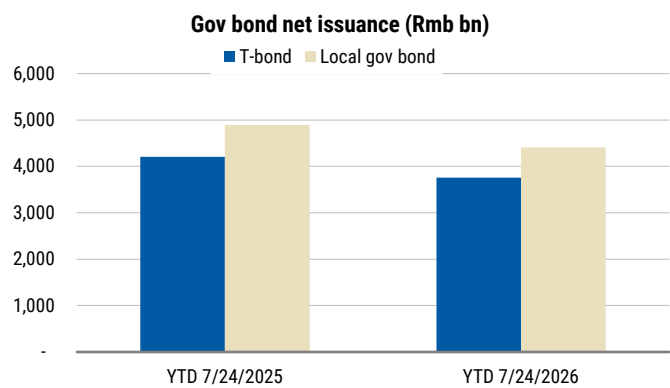
Over the medium term, we also see room for government debt growth to support infrastructure investment while maintaining a manageable net interest burden. [Our analysis](#) suggests that although China's debt-to-GDP ratio will likely continue to rise in the coming years, driven primarily by government debt, improvements in credit allocation, ongoing industrial and technology upgrades, and a gradual policy shift from infrastructure investment toward consumption and social welfare should help keep systemic risks under control.

Exhibit 2: Only 46% of annual government bond quota was utilized in 1H26 vs. 55% in 1H25



Source: PBOC, CEIC, Morgan Stanley Research

Exhibit 3: Both T-bond and local government bond net issuance declined YoY, with some pick-up since July



Source: WIND, Morgan Stanley Research

Brokers: Capital market names are underappreciated beneficiaries of positive financial development loop

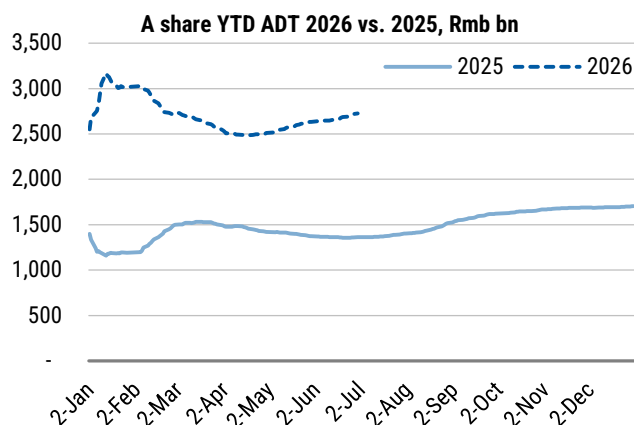
Under the positive development loop, we believe China's capital markets can evolve toward a slow-bull scenario, allowing leading brokers to sustain double-digit ROEs for longer by benefiting from steadily rising activity levels and continued market share gains.

Rising trading volumes alongside household de-leveraging point to a more sustainable driver – asset reallocation rather than credit expansion

On one hand, A-share trading activity has continued to rise and remain elevated in 2026, after 2025 ADT already exceeded the previous 2021 bull-cycle peak by around 50%. On the other hand, household deposit growth has slowed modestly, to 7.5% YoY in May 2026 from 9.7% in F2025, likely reflecting lower deposit yields and more rational credit growth. Notably, this shift has already translated into nearly 30% YoY growth in deposits at non-bank financial institutions (NBFIs) this year.

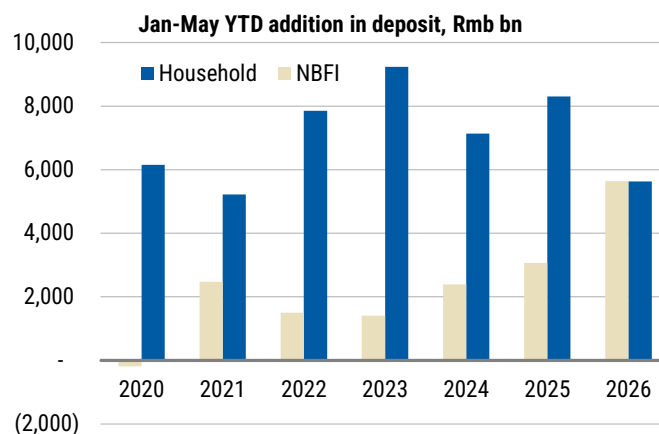
This suggests household financial asset reallocation has continued in 2026, following the rebound in equities' share of household financial assets to 10.5% in 2025 from a multi-year low of 9.3% in 2024, based on our estimates. We believe brokers are clearly set to benefit from strong overall market flows with continued capital rotation among different sectors.

Exhibit 4: 2026 YTD A-share ADT tracking at >Rmb2.6tn, doubling YoY



Source: CEIC

Exhibit 5: New household deposits added in Jan-May 2026 down Rmb2.6tn YoY, while new deposits at NBFIs were up Rmb2.6tn YoY



Source: CEIC

Institutionalization trend back on track – favors brokers with stronger institutional franchises

In 2026, data points clearly to a renewed acceleration in institutionalization, with newly launched hybrid mutual funds up 360% YoY during January-May 2026. Given that the A-share market has historically been dominated by retail investors, we view institutionalization as an important structural positive for brokers, which have higher

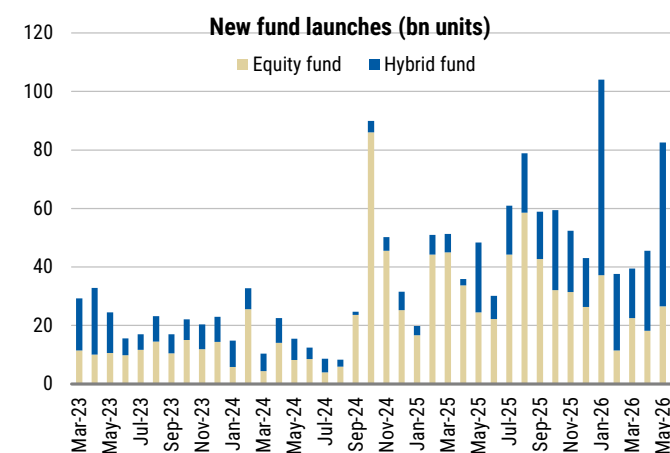
demand for more complex products with highly differentiated offerings and significantly greater monetization potential compared to plain vanilla brokerage offerings.

Primary and secondary market fundraising are entering a positive loop, while we remain in the early stages of a technology and industrial upgrade cycle characterized by rising capital intensity

The largest AI and robotics fundraising transactions completed in 2026 YTD have been substantially larger than those in 2025. We believe the accumulation of larger private-market financings is an early indicator of potentially sizeable IPO activity ahead for China's equity markets. Based on our estimates, Rmb250-300bn of IPO fundraising could be in the pipeline over the next 12 months. The largest prospective deals are concentrated in memory, semiconductors, renewable energy, robotics and other technology-intensive segments.

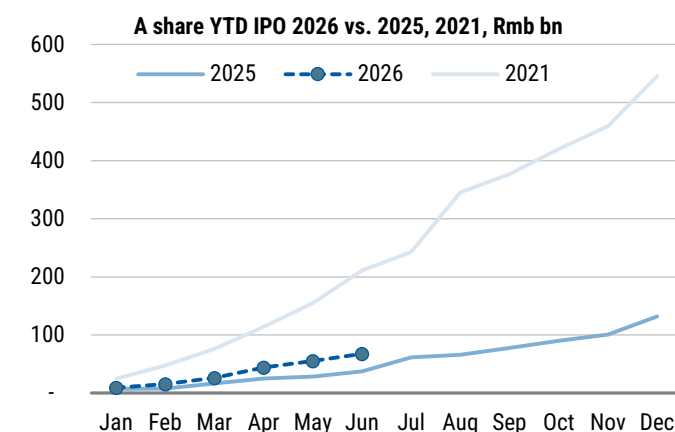
Despite higher fundraising volumes in the A-share market year to date in 2026 compared with 2025, activity remains well below the pace reached in 2021. Given the historical fundraising capacity of the A-share market and the substantial capital requirements associated with today's innovation cycle, we believe the current fundraising upcycle is still in its early stages (please see: [China – Brokers: Potential IPO Renaissance Could Trigger Select Re-rating \(21 May 2026\)](#)).

Exhibit 6: Newly launched hybrid mutual funds (largely representing actively managed equity funds) rose 360% YoY in Jan-May 2026



Source: WIND

Exhibit 7: A-share IPO YTD volume up 95% YoY



Source: WIND

Capital market regulators have spent the past three years putting guardrails in place – now it is time to reap the benefits

Since 2023, the CSRC has devoted significant effort to refining existing regulations and introducing new rules covering listings, trading, investor protection, shareholder returns and fraud prevention. These initiatives have resulted in meaningful progress in building a stronger long-term regulatory framework (please see: [China – Brokers: Rebalancing fundraising with shareholder return: the effects \(21 Aug 2024\)](#)).

In our view, this also explains why the IPO recovery in 2026 has been more gradual but steadier than in previous cycles. Regulators have established extensive guardrails to improve listing quality and strengthen market discipline. At the same time, we have observed a clear shift in regulatory stance since mid-2025, with accelerated reforms aimed at facilitating fundraising and supporting innovation.

Stock picks among China brokers:

CICC-H: We expect CICC-H to remain a key outperformer, driven by: 1) meaningful fee opportunities amid recovery in the A-share IPO market; 2) investment gains from co-investment participation in IPOs on ChiNext and the STAR Market; 3) higher performance fees from CICC's private equity platform; and 4) further operating leverage. We forecast ROE to increase to 12.5% in 2026 and 12.9% in 2027.

CITICS-A and CITICS-H: A high-quality capital markets play that merits a premium valuation. We continue to view CITICS as one of the strongest franchises among China's leading brokers, supported by a well-balanced business mix and a dominant market position. Its strength across both institutional and retail brokerage leaves it well positioned to capture revenue growth as trading activity, fundraising volumes and derivatives activity continue to improve. We remain confident in our forecast that CITICS can achieve an ROE of more than 13% in 2026, after already rebounding ahead of peers to 10.7% in 2025.

Insurers: Solid fundamentals remain intact, while market divergence drives differentiated outcomes

Some moderation in sales momentum, but demand remains healthy and business quality continues to improve

Strong sales momentum, particularly in the bancassurance channel, drove robust VNB growth across insurers in F2025 and created a relatively high base, especially for 3Q. Most insurers delivered strong jump-start sales, with VNB growth of 21-26%, while China Life's VNB rose 76% off a low base and CPIC posted a respectable 10% increase. We expect sales growth to moderate gradually over the remainder of 2026, driven by tighter regulation in the bancassurance channel and tougher comparisons in 2H26, which had already been anticipated by the market at the beginning of the year.

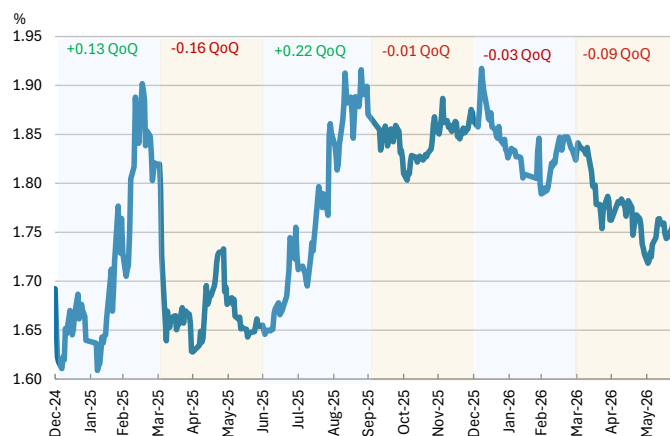
Overall, we continue to see healthy underlying demand, supported by double-digit growth in household financial assets, while business quality continues to improve. Large insurers, mostly listed insurers, have led the product strategy transition from traditional product to par product in both banca and agent channels, recording ~90% of par product mix in regular FYP in 1Q26. We have also seen proactive adjustments to sales structures among listed insurers. Both CPIC and NCI reduced bancassurance single-premium FYP by roughly two-thirds in 1Q26. Despite some moderation in sales momentum, we believe listed insurers can maintain their competitive positioning and continue to deliver healthy double-digit VNB growth in 2026.

Interest rates remain relatively stable, while divergent equity market performance may drive earnings dispersion.

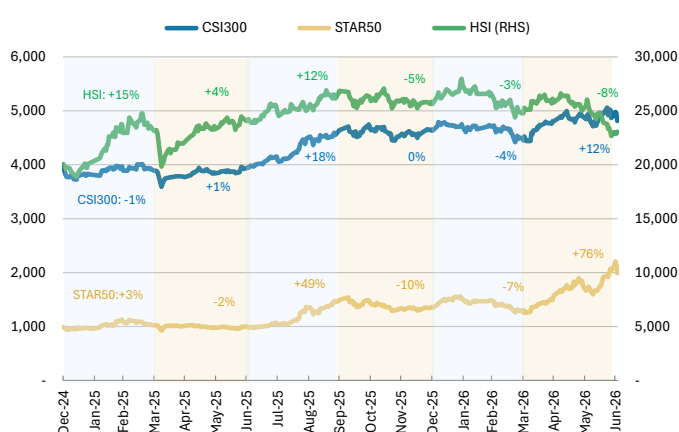
Interest rates have been substantially more stable in 1H26 than in 1H25, and most investors appear less concerned about spread-loss risk in 2026. The 10-year government bond yield fluctuated around 1.85% in 1Q26 and 1.75% in 2Q26, compared with a 13bp increase in 1Q25 followed by a 16bp decline in 2Q25.

At the same time, equity market divergence intensified sharply in 2Q26. Both the CSI 300 and STAR 50 rebounded strongly, rising 12% and 76%, respectively, following a weak 1Q26. The STAR 50's performance was even stronger than its 49% rally in 3Q25. In contrast, the comparison base in 2Q25 was relatively low, with the CSI 300 rising just 1% and the STAR 50 declining 2%. Meanwhile, the Hang Seng Index weakened further in 2Q26, falling 8%.

We believe differing equity investment strategies across insurers will result in increasingly divergent earnings outcomes. China Life and NCI maintain more growth-oriented portfolios, likely with greater exposure to AI and technology-related sectors, while CPIC and Ping An have adopted more balanced asset allocation strategies. Taiping may also benefit from a relatively low earnings base in 1H25. Given the stronger equity market performance during 2Q26, we expect insurers to report encouraging, and in some cases potentially impressive, 1H26 earnings results.

Exhibit 8: 10-year Treasury bond yield since 2025

Source: FactSet, Morgan Stanley Research; Price as of July 9, 2026

Exhibit 9: Market index performance since 2025

Source: FactSet, Wind, Morgan Stanley Research; Price as of July 9, 2026

National team selling remains a key factor to monitor, while valuations and dividend yields remain attractive across most insurers

At the end of 1Q26, CSF continued to hold meaningful positions in several major insurers. It owned 3.88% and 3.37% of the A-share free float of CPIC and China Life, respectively (equivalent to 2.76% and 2.48% of total shares), down 0.08ppt and 0.03ppt QoQ. CSF asset management plan accounts also held 7.02% of Ping An's A-share free float (equivalent to 4.13% of total shares), down 0.48pp QoQ in 1Q26. We believe CSF may have accelerated the sale of its insurer holdings during 2Q26, making the pace of any further selling a key factor to monitor in 2H26.

Following the group-wide correction in 2Q26, valuations and dividend yields across most insurers appear attractive. In particular, Ping An trades at approximately 0.7x 12-month forward P/B with a 6.2% dividend yield; China Life trades at 1.0x 12-month forward P/B; and PICC P&C trades at 0.9x 12-month forward P/B with a 5.8% dividend yield.

AIA's valuation also appears compelling at 1.0x 12-month forward P/EV and 1.1x 2026E P/EV, in our view, amid overstated concerns regarding its MCV business (see our view: [AIA Group Ltd: MCV Concerns Overstated, Valuation Appealing \(10 Jun 2026\)](#)).

Trading thesis for 2H26

In July and August, market focus could shift to 1H26 results, and we believe China Life and NCI as well as Taiping could outperform peers given their equity allocations and earnings bases.

During 1H26 results around end-August, in addition to earnings and other financial metrics, we will also need to track: 1) changes in national team holdings in 2Q26; 2) sales slowdown trends; and 3) changes in equity asset allocation during the quarter. We should also gain clearer visibility on catastrophe losses during the summer season for PICC P&C.

In September and October, insurers could enter a high-base period, and higher-beta names may face greater pressure, while Ping An and CPIC could highlight their strengths on a relatively favorable base and OPAT-focused earnings performance.

Around year end, expectations for 2027 jump-start sales could become the key factor to

monitor.

China Life – Strong earnings expectations and VNB growth in 1H26E

We expect China Life to deliver industry-leading VNB growth in 1H26 despite some moderation as the comparison base normalizes. Business quality continues to improve in 2Q26, with 80-90% participating products in new business, a continued shift toward regular-payment products and margin improvement, which should support solid growth in insurance earnings. We believe this, together with strong investment performance in 2Q driven by the strong equity market rebound (CSI300 +11% and STAR50 +53% in 2Q; see [Exhibit 7](#)) could support strong 1H26E earnings.

China Life reported over 200% earnings growth in 1H26, please see our report: [China Life Insurance Co Ltd: 1H26 prelim results show 215%-235% earnings growth \(14 Jul 2026\)](#).

Ping An – Continued improvement over the medium term alongside an attractive yield

We see continued strengthening fundamentals, with improvements in both asset management and banking as risk digestion enters its final stage. The asset management business recorded Rmb3.2bn of net profit in 1Q26, and management remains confident in achieving full-year profitability in 2026, while the bank's NIM has continued to stabilize. We believe these businesses should no longer weigh on Ping An's performance. With double-digit VNB growth, healthy margins and relatively stable interest rates, we expect CSM growth to turn positive in 2026. Valuation remains attractive at 0.9x 2026E P/B and a 5.2% dividend yield.

PICC – CoR could maintain its improving momentum in 2026E; catastrophe losses and earnings remain key factors to track

Further tightening of expense controls in both auto and non-auto insurance should support the continued improvement in PICC P&C's CoR in 2026. However, CAT losses were up 13% YoY YTD through May, and 138% YoY in May alone, driven by significantly higher flood-related crop losses, which could weigh on underwriting profits. CAT losses remain the key factor to monitor in 2H26. We remain confident that the company can maintain a progressive DPS in 2026, and if CAT losses negatively affect its CoR in 3Q26, we would view any resulting weakness as a good buying opportunity. (See our report: [PICC P&C Company Ltd: Healthy Performance with solid CoR and robust earnings expectation \(13 Jul 2026\)](#).)

AIA – We expect limited regulatory impact on MCV, alongside healthy VNB growth.

AIA's share price corrected by approximately 13% earlier June (vs. -3% for HSI) in response to concerns about a potential regulatory clampdown on MCV insurance business, whereas we believe the actual impact will be limited (see our note: [Hong Kong/China Insurance: Cross-border Insurance Sales: Why We Think Regulatory Impact Could Be Limited \(3 Jun 2026\)](#)). In 3Q26, we believe changes to critical illness (CI) product definitions in Hong Kong could drive higher demand for protection products, which should benefit AIA. We expect AIA to deliver mid-teens VNB growth in F2026 and continue to see solid fundamentals supported by an attractive valuation of 1.1x 2026E P/EV (1.0x 12-month forward P/EV), equivalent to only 2.1x 2026E VNB.

See our preview report: [AIA Group Ltd: 1H26 Preview: On-track Execution with Healthy Business Momentum \(20 Jul 2026\)](#)

Exhibit 10: Insurance comps

Company	TRSL	CCY	Price	Market Cap	Turn-over	Rat-ing	PT	Up-side	P/Group EV		P/B		P/E		Dividend Yield %		ROE %		VNB growth %	
		Tradi-ng	(LC)	(USD mn)	(USD mn)				2026 E	2027 E	2026 E	2027 E	2026 E	2027 E	2026 E	2027 E	2026 E	2027 E	2026 E	2027 E
Regional Life Insurers																				
AIA	1299-HK	HKD	78.60	105,334	292.3	O	109.0	39%	1.04	0.93	2.07	1.85	12.9	11.5	2.8	3.2	17.4	17.4	15.3	13.5
FWD	1828-HK	HKD	29.92	6,430	3.4	O	40.1	34%	0.72	0.62	0.65	0.62	14.9	11.7	NA	NA	4.1	5.1	11.7	12.1
Chinese Life Insurers																				
Ping An	2318-HK	HKD	57.05	131,760	327.1	O	92.0	61%	0.55	0.52	0.82	0.75	6.0	5.3	5.8	6.2	14.3	14.7	16.0	16.5
China Life	2628-HK	HKD	28.60	103,105	221.9	O	38.9	36%	0.44	0.40	1.05	0.94	7.5	6.8	3.7	4.1	14.8	14.6	21.0	13.5
China Pacific	2601-HK	HKD	30.24	37,144	73.9	O	46.0	52%	0.38	0.35	0.76	0.69	6.1	5.7	4.7	5.1	12.9	12.6	10.7	11.5
PICC Group	1339-HK	HKD	5.35	30,177	42.4	O	7.7	44%	0.48	0.43	0.59	0.53	4.5	4.1	4.8	5.2	13.9	13.6	16.5	13.9
China Taiping	966-HK	HKD	22.40	10,268	28.8	E	25.7	15%	0.33	0.30	0.68	0.64	7.4	6.8	5.4	5.9	9.5	9.8	11.8	12.4
New China Life	1336-HK	HKD	49.26	19,600	82.9	U	44.8	-9%	0.43	0.39	1.10	0.99	7.4	7.4	3.8	4.1	14.4	14.3	9.5	9.2
Non-Life Insurers																				
PICC P&C	2328-HK	HKD	15.04	42,668	64.1	O	20.5	36%	NA	NA	0.93	0.86	7.3	6.7	5.7	6.2	13.3	13.3	NA	NA
Zhong An	6060-HK	HKD	10.91	2,344	64.1	O	18.1	66%	NA	NA	0.60	0.57	14.6	12.8	NA	NA	4.2	4.6	NA	NA
A share Insurers																				
Ping An	601318-CN	CNY	54.30	145,147	617.3	O	84.0	55%	0.61	0.57	0.90	0.83	6.6	5.9	5.3	5.6	14.3	14.7	16.0	16.5
China Pacific	601601-CN	CNY	32.81	46,644	200.6	O	47.2	44%	0.47	0.43	0.95	0.87	7.7	7.2	3.8	4.1	12.9	12.6	10.7	11.5
China Life	601628-CN	CNY	41.73	174,116	105.9	E	44.7	7%	0.74	0.68	1.78	1.59	12.7	11.5	2.2	2.4	14.8	14.6	21.0	13.5
PICC Group	601319-CN	CNY	7.59	49,550	103.1	E	8.7	15%	0.79	0.71	0.97	0.88	7.4	6.8	2.9	3.2	13.9	13.6	16.5	13.9
New China Life	601336-CN	CNY	65.72	30,265	193.7	U	62.9	-4%	0.66	0.60	1.69	1.53	11.4	11.4	2.4	2.6	14.4	14.3	9.5	9.2

Source: Company data, FactSet, Morgan Stanley estimates. Note: Closing prices as of July 23, 2026.

Banks: Steady performers with improving profit outlook

Despite some correction in share prices YTD for A shares, we continue to expect China banks could contain a stable earnings outlook with several drivers and trends below, supporting valuation.

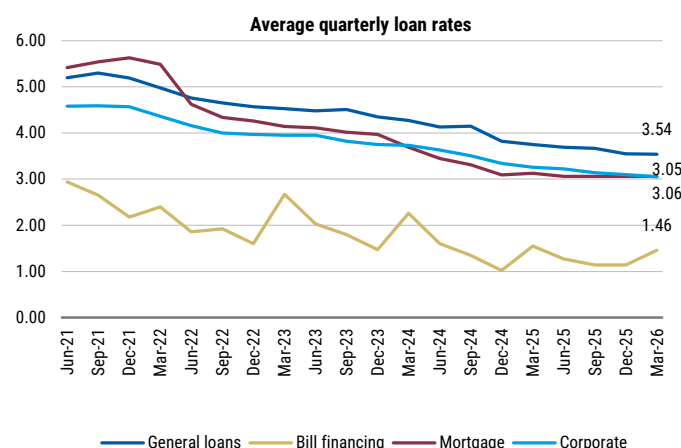
We expect improving 2Q26 and 3Q26 results following an earlier-than-expected rebound in bank NIMs and revenue growth in 1Q26

We have seen a notable shift in policy priorities since 2025 and acknowledge that stable profitability at financial firms, together with proper loan and financial asset yields, is essential for long-term financial system stability and more efficient credit and capital allocation. We believe changes in policy direction, a better balance between credit supply and demand, and the gradual moderation of deflationary pressures in China will continue to support loan and financial asset yields. In addition, the benefits from multiple rounds of deposit rate cuts since 2H23 should continue to support bank NIMs over an extended period. This is already evidenced in [much higher-than-expected revenue growth in 1Q26](#) led by SOE banks supported by broad-based NIM recovery and healthy fee income growth.

The continued withdrawal of stimulus measures that previously weighed on bank NIMs and increased credit risks, particularly the policy adjustments introduced in 2Q26, provides further evidence of this shift in policy priorities. We believe these changes should support a continued recovery in bank NIMs and revenue growth from 2Q26 onward.

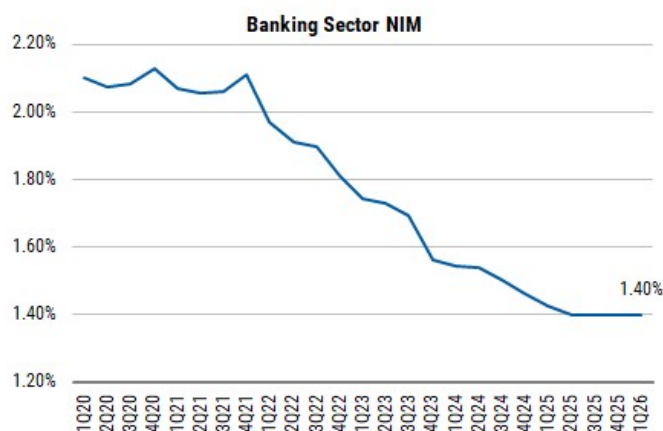
Specifically, **we forecast a gradual 50bp recovery in financial asset yields over the next three years**, with potential upside to a 70-80bp recovery over the same period in our bull-case scenario. We also expect NIMs to stabilize sooner and begin a modest recovery from 2026 onward, which should support NII and revenue growth.

Exhibit 11: Loan rates gradually stabilizing



Source: PBOC, CEIC, Morgan Stanley Research

Exhibit 12: Banking sector NIM flat qoq in 1Q26



Source: NFRA, CEIC, Morgan Stanley Research

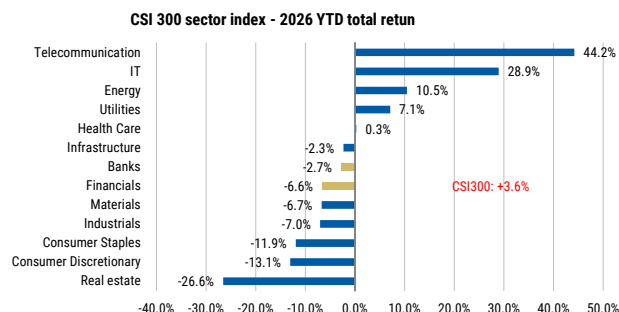
Still attractive dividend yield after muted performance YTD

Chinese banks continue to offer attractive dividend yields despite relatively muted A-share price performance YTD. Notably, A-share banks have underperformed the broader market – CSI 300 Banks Index declined 2.7% YTD vs. a 3.6% gain in the CSI 300 Index, as market

liquidity has rotated toward AI, hardware and other related sectors. H-share banks have performed relatively better, with the HSI Mainland Banks Index up 6.3% YTD, outperforming the broader HSI of +0.3%.

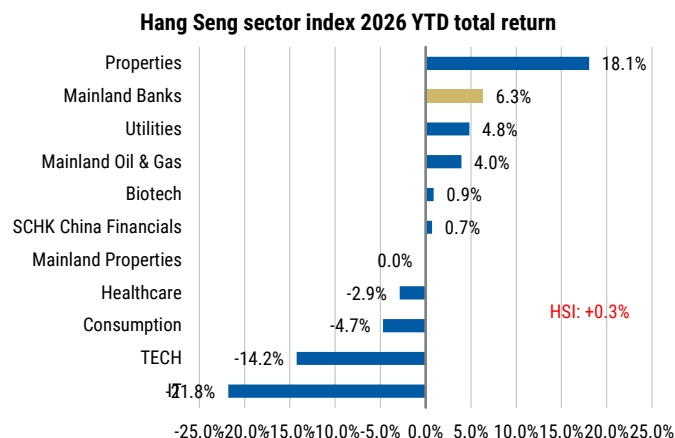
This, combined with a stable earnings outlook, has pushed higher dividend yields at 4-7% for 2026E. Against a low-yield environment, the dividend yields offered by some banks remain compelling.

Exhibit 13: CSI 300 sector total return



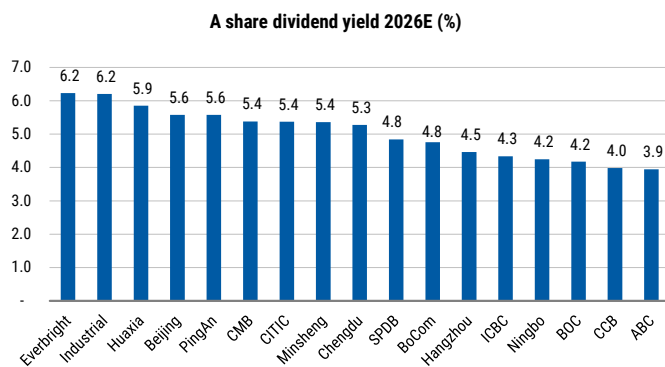
Source: Bloomberg, as of July 23, 2026

Exhibit 14: HSI sector total return



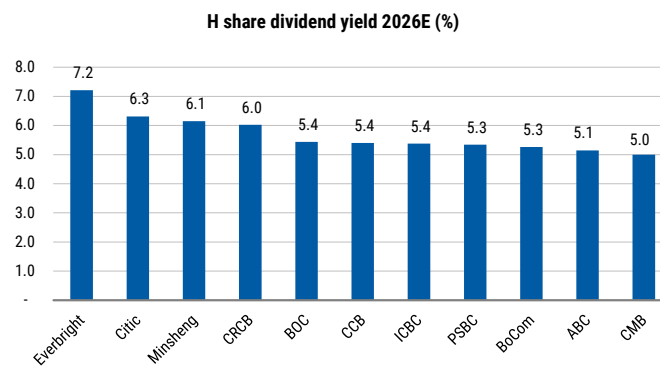
Source: Bloomberg, as of July 23, 2026

Exhibit 15: A-share dividend yield



Source: Morgan Stanley Research estimates (E). Close price of July 23, 2026.

Exhibit 16: H-share dividend yield



Source: Morgan Stanley Research estimates (E). Close price of July 23, 2026.

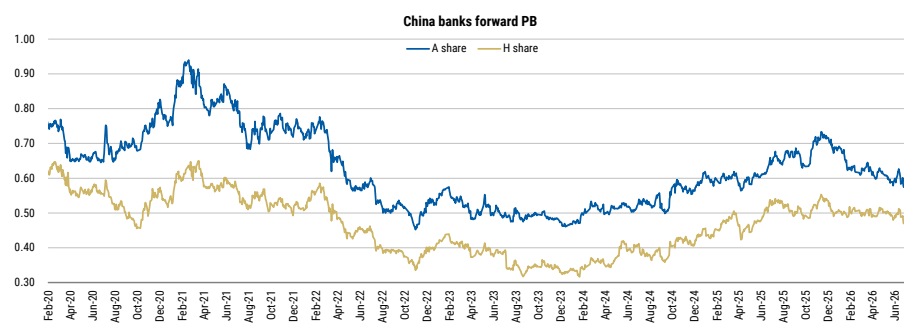
ROE stabilization to support further valuation re-rating

China banks' stock prices have recovered over the past two weeks: A-share and H-share banks under our coverage picked up 4.7% and 6.7% (vs. -0.9% for CSI300 and +4.3% for HSI) from July 10, 2026 to July 23, 2026, as investors rotate toward high-dividend yield and offensive names, leading to higher forward P/Bs, which still remain low relative to their underlying ROE. The average 2026E P/B ratios for A-share and H-share banks under our coverage are still at only around 0.57x and 0.50x, respectively.

Nevertheless, we expect China banks' ROEs to show further signs of stabilization in 2026, with the long-term ROE of our covered banks stabilizing at around 9%, supported by stabilizing or rebounding NIMs, more rational loan growth and manageable credit cost amid more favorable environment and continued efforts in risk digestion. In our view,

banks offer a defensive combination of steady earnings, attractive dividends and relatively low valuation risk. We see room for P/B multiples to move higher as investors gain confidence that ROEs are approaching a sustainable level.

Exhibit 17: Banks forward P/B picked up in recent weeks



Source: FactSet, Morgan Stanley Research. Close price as of July 23, 2026.

Exhibit 18: A-share banks total return

A Share Banks	YTD Total Return	3 Month Total Return	6 Month Total Return	Total Return 7/10/2026-7/23/2026
Bank of Chengdu 601838-CN	20.30	5.57	23.68	2.84
Bank of Ningbo 002142-CN	17.28	1.95	13.63	6.73
CCB 601939-CN	12.76	7.44	20.98	4.13
BOC 601988-CN	7.00	5.53	16.34	3.11
Bank of Hangzhou 600926-CN	4.78	(6.42)	4.78	4.56
Huaxia 600015-CN	3.65	(1.96)	10.74	2.95
Citic 601998-CN	1.31	(6.57)	5.70	5.59
PingAn 000001-CN	0.40	4.14	4.24	6.03
ICBC 601398-CN	0.01	5.63	10.00	4.77
BoCom 601328-CN	(0.42)	3.43	8.73	5.14
CMB 600036-CN	(1.85)	2.25	7.38	5.50
Bank of Beijing 601169-CN	(2.43)	(2.07)	1.66	3.88
Everbright 601818-CN	(6.89)	(0.94)	(3.57)	3.27
Minsheng 600016-CN	(7.14)	(5.15)	(5.41)	5.69
Industrial 601166-CN	(7.94)	3.54	1.40	5.37
ABC 601288-CN	(11.59)	(3.55)	0.59	5.78
SPDB 600000-CN	(23.88)	0.20	(9.90)	4.63

Source: FactSet, Morgan Stanley Research. Close price as of July 23, 2026.

Exhibit 19: H-share banks total return

H Share Banks	YTD Total Return	3 Month Total Return	6 Month Total Return	Total Return 7/10/2026-7/23/2026
BOC 3988-HK	22.86	6.40	22.86	4.32
CCB 939-HK	17.59	1.03	18.83	7.50
ICBC 1398-HK	17.51	1.81	20.18	7.66
BoCom 3328-HK	17.18	2.14	16.10	6.59
Citic 998-HK	10.36	(8.16)	10.52	9.09
CRCB 3618-HK	10.28	(9.12)	14.64	6.11
ABC 1288-HK	4.28	(2.63)	13.30	6.56
PSBC 1658-HK	(3.02)	(5.11)	0.38	5.14
CMB 3968-HK	(3.03)	(0.71)	7.85	6.12
Minsheng 1988-HK	(7.75)	(1.75)	(5.10)	9.54
Everbright 6818-HK	(7.93)	3.12	1.83	5.33

Source: FactSet, Morgan Stanley Research. Close price as of July 23, 2026.

Stock picks among China banks:

- **Industrial Bank** offers the highest dividend yield among all of the A-share banks under our coverage at 6.2%.
- **CITIC Bank-H** also offers an attractive 6.3% dividend yield supporting by healthy profit growth.
- Among SOE banks, we prefer **CCB-H** and **BOC-H** due to their stable profit growth, still-attractive 2026E dividend yield of around 5.4%, and lower uncertainty from capital-injection-related dilution.
- **Bank of Ningbo** remains our Top Pick with double-digit loan and profit growth, ongoing market share gains amid more rational competition, and superior product and services.

Exhibit 20: Valuation for banks

		Ticker	Price	P/E		P/B		Div Yield		ROE		ROA	
				26E	27E	26E	27E	26E	27E	26E	27E	26E	27E
Chinese Banks													
H Share Banks													
ABC	OW	1288.HK	5.85	6.2	5.9	0.60	0.56	5.1	5.4	10.0	9.9	0.6	0.6
ICBC	OW	1398.HK	7.17	5.9	5.6	0.54	0.50	5.4	5.7	9.4	9.3	0.7	0.7
CCB	OW	0939.HK	8.74	5.6	5.3	0.51	0.48	5.4	5.7	9.8	9.7	0.7	0.7
BOC	OW	3988.HK	5.31	6.2	5.9	0.53	0.49	5.4	5.7	8.7	8.7	0.6	0.6
PSBC	OW	1658.HK	4.91	6.1	5.7	0.52	0.49	5.3	5.7	8.4	8.9	0.4	0.4
CMB	OW	3968.HK	48.52	7.1	6.8	0.89	0.81	5.0	5.3	13.0	12.6	1.1	1.1
Citic	OW	0998.HK	7.44	5.0	4.6	0.46	0.43	6.3	6.8	9.5	9.6	0.7	0.7
Minsheng	OW	1988.HK	3.56	4.9	4.5	0.23	0.22	6.1	6.7	4.8	5.0	0.3	0.4
BoCom	UW	3328.HK	7.28	6.0	5.8	0.46	0.44	5.3	5.5	7.8	7.7	0.6	0.6
Everbright	UW	6818.HK	3.16	4.7	4.5	0.27	0.26	7.2	7.6	6.6	6.7	0.5	0.5
CRCB	UW	3618.HK	6.43	5.0	4.8	0.44	0.41	6.0	6.3	9.1	9.0	0.7	0.7
Average				5.7	5.4	0.50	0.46	5.7	6.0	8.8	8.8	0.6	0.6
A Share Banks													
PingAn	OW	000001.SZ	11.08	5.2	4.9	0.45	0.41	5.6	5.9	8.9	8.8	0.7	0.7
Minsheng	OW	600016.SS	3.53	5.6	5.1	0.26	0.25	5.4	5.8	4.8	5.0	0.3	0.4
Industrial	OW	601166.SS	18.26	5.0	4.6	0.44	0.41	6.2	6.7	9.0	9.1	0.7	0.7
CMB	OW	600036.SS	38.91	6.6	6.3	0.82	0.76	5.4	5.7	13.0	12.6	1.1	1.1
Ningbo	OW	002142.SZ	31.85	6.6	5.7	0.85	0.77	4.2	4.9	13.6	14.1	0.8	0.9
Chengdu	OW	601838.SS	18.59	5.7	5.2	0.79	0.69	5.3	5.8	14.7	14.1	0.9	0.9
ABC	EW	601288.SS	6.59	8.1	7.7	0.78	0.73	3.9	4.2	10.0	9.9	0.6	0.6
ICBC	EW	601398.SS	7.68	7.3	6.9	0.66	0.62	4.3	4.6	9.4	9.3	0.7	0.7
CCB	EW	601939.SS	10.24	7.6	7.2	0.69	0.65	4.0	4.2	9.8	9.7	0.7	0.7
BOC	EW	601988.SS	5.97	8.1	7.6	0.69	0.64	4.2	4.4	8.7	8.7	0.6	0.6
CITIC	EW	601998.SS	7.55	5.9	5.4	0.54	0.51	5.4	5.8	9.5	9.6	0.7	0.7
SPDB	EW	600000.SS	9.05	6.2	5.8	0.42	0.40	4.8	5.2	6.7	7.1	0.5	0.5
Beijing	EW	601169.SS	5.09	6.3	6.0	0.38	0.36	5.6	5.8	6.1	6.1	0.3	0.3
Hangzhou	EW	600926.SS	15.83	5.7	5.1	0.75	0.65	4.5	4.9	14.1	13.6	0.8	0.8
BoCom	UW	601328.SS	6.95	6.7	6.5	0.51	0.49	4.8	4.9	7.8	7.7	0.6	0.6
Everbright	UW	601818.SS	3.16	5.5	5.2	0.32	0.30	6.2	6.6	6.6	6.7	0.5	0.5
Huaxia	UW	600015.SS	6.98	4.3	4.2	0.33	0.31	5.9	6.0	7.9	7.6	0.5	0.5
Average				6.2	5.8	0.57	0.53	5.0	5.4	9.5	9.4	0.6	0.7

Source: FactSet, Morgan Stanley Research estimates (E). Close price as of July 23, 2026.

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Underweight/Sell	544	15%	89	10%	16%	204	12%
Total	3,668		933			1731	

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INDUSTRY COVERAGE: China Financials

COMPANY (TICKER)	RATING (AS OF)	PRICE* (07/24/2026)
Chiyao Huang		
China International Capital Corp. Ltd. (3908.HK)	O (02/28/2025)	HK\$22.14
China Merchants Securities Co Ltd (600999.SS)	U (09/29/2022)	Rmb18.65
China Merchants Securities Co Ltd (6099.HK)	U (10/29/2024)	HK\$15.36
CITIC Securities Co. (6030.HK)	O (07/10/2026)	HK\$27.76
CITIC Securities Co. (600030.SS)	O (08/07/2025)	Rmb27.95
East Money Information Co Ltd (300059.SZ)	E (09/19/2025)	Rmb19.40
Futu Holdings Ltd (FUTU.O)	O (11/18/2024)	US\$99.36
Galaxy Securities (6881.HK)	E (02/27/2020)	HK\$7.51
Galaxy Securities (601881.SS)	U (09/29/2022)	Rmb12.45

GF Securities (000776.SZ)	E (08/07/2025)	Rmb21.70
GF Securities (1776.HK)	E (01/06/2023)	HK\$17.19
HTSC (601688.SS)	E (09/23/2024)	Rmb20.40
HTSC (6886.HK)	E (09/23/2024)	HK\$17.06
Richard Xu, CFA		
Agricultural Bank of China Limited (601288.SS)	E (05/07/2019)	Rmb6.66
Agricultural Bank of China Limited (1288.HK)	O (10/19/2020)	HK\$5.88
Bairong Inc. (6608.HK)	E (09/09/2025)	HK\$4.98
Bank of Beijing Co Ltd (601169.SS)	E (08/17/2022)	Rmb5.06
Bank of Chengdu Co Ltd (601838.SS)	O (08/17/2022)	Rmb18.45
Bank of China Limited (601988.SS)	E (05/07/2019)	Rmb6.01
Bank of China Limited (3988.HK)	O (01/10/2020)	HK\$5.33
Bank of Communications (3328.HK)	U (05/20/2022)	HK\$7.34
Bank of Communications (601328.SS)	U (09/05/2014)	Rmb7.04
Bank of Hangzhou Co Ltd (600926.SS)	E (08/17/2022)	Rmb15.74
Bank of Ningbo Co. Ltd (002142.SZ)	O (08/17/2022)	Rmb32.01
China CITIC Bank Corporation Limited (601998.SS)	E (04/16/2025)	Rmb7.61
China CITIC Bank Corporation Limited (0998.HK)	O (04/16/2025)	HK\$7.45
China Construction Bank Corp. (0939.HK)	O (10/11/2012)	HK\$8.78
China Construction Bank Corp. (601939.SS)	E (05/07/2019)	Rmb10.26
China Everbright Bank Co Ltd (6818.HK)	U (05/12/2023)	HK\$3.15
China Everbright Bank Co Ltd (601818.SS)	U (05/20/2022)	Rmb3.15
China Merchants Bank (600036.SS)	O (01/07/2019)	Rmb39.20
China Merchants Bank (3968.HK)	O (09/20/2018)	HK\$48.76
China Minsheng Banking Corp. (600016.SS)	O (08/28/2025)	Rmb3.50
China Minsheng Banking Corp. (1988.HK)	O (05/12/2023)	HK\$3.56
Chongqing Rural Commercial Bank (3618.HK)	U (05/12/2023)	HK\$6.40
Hua Xia Bank (600015.SS)	U (06/30/2015)	Rmb7.01
Industrial and Commercial Bank of China (1398.HK)	O (08/09/2013)	HK\$7.19
Industrial and Commercial Bank of China (601398.SS)	E (09/19/2022)	Rmb7.75
Industrial Bank Co. Ltd. (601166.SS)	O (02/25/2019)	Rmb18.33
Lufax (LU.N)		US\$1.38
Ping An Bank (000001.SZ)	O (05/07/2019)	Rmb11.10
Postal Savings Bank of China Co Ltd (1658.HK)	O (11/01/2016)	HK\$4.91
Qifu Technology Inc (QFIN.O)	O (08/25/2020)	US\$13.19
Shanghai Pudong Development Bank (600000.SS)	E (08/05/2025)	Rmb9.04

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* Historical prices are not split adjusted.